

expenses that aren't covered by health insurance. (Many FSAs will also cover day care expenses.)

One thing that makes an FSA different from a savings account is that you can put the money into the FSA on a before-tax basis, and that money will never be taxed. FSA money is commonly used to pay for eyeglasses, contact lenses, allergy shots, dental care, prescription drugs, chiropractic sessions, and transportation to or from the hospital or doctor's office. You can also use the money to pay the deductibles on your medical and dental plans. You can't use FSA money to pay for things like cosmetic surgery, electrolysis, or a health club membership. (Although if you need a weight loss program or some other activity to help with a medical condition, it may qualify, so check.) While the IRS is very clear on a few things that are and aren't allowed (look at Publication 502 at www.irs.gov for details), rules on other expenses vary from company to company. Educate yourself before you sign up, and always ask the plan administrator before you assume a health-related expense is *not* covered.

An added perk: You don't actually have to wait to build up the money in your FSA to have access to it. They're **prefunded**, which means the entire amount you've agreed to contribute over the next 12 months is automatically available to you when the new year starts (even though it's siphoned from your paycheck month by month). This means you don't have to put off a medical expense until your account balance builds up.

There is one drawback to an FSA: If you don't use the money you put into the account, you'll lose it. Some employers will take back your unused FSA dollars on December 31, while others will let you file claims on qualified medical expenses as late as March 15 of the next year. But after that, the unused money is theirs. That's why you should put in only an amount you're sure you'll spend. And if you do find yourself nearing the deadline with cash in your account, use it before it's too late.